Revenue Recognition Testing Memo

Client	Meridian Capital Group, LLC
Fiscal Year End	—
Period	FY 2025 (January 1 – December 31, 2025)
Source Document	Revenue Transaction Detail — FY2025 Export
Source File	meridian_revenue_fy2025.csv
Source Context	Exported from Meridian ERP (QuickBooks Enterprise) on Jan 15, 2026
Reference	RVT-2026-1023-202
Generated	23rd October 2026
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Engagement Reviewer	James R. Whitfield, CPA, CIA
Report Status	Draft

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I. Scope

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Source ... Revenue Transaction Detail — FY2025 Export
(meridian_revenue_fy2025.csv)
Period Tested ... FY 2025 (January 1 – December 31, 2025)
Total Revenue Entries Tested ..... 820
Tests Applied ..... 16
Data Quality Score ..... 97%
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Revenue Quality Indicators

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Total Revenue (Period) ..... $6,850,000.00
High-Risk Entries (HIGH severity) ... $3,928,000.00 (57.3% of total)
December Revenue Concentration ... $4,455,000.00 (32.0% of total)
Cut-Off Window Revenue .... $647,500.00 (9.5% of total)
Single-Customer Concentration .... 38% (~$2,603,000.00)
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The automated revenue recognition testing procedures documented in this workpaper were performed on the revenue transaction detail provided by management for the period under examination. These procedures are designed to identify potential data anomalies that may warrant further investigation by the engagement team. The analysis was performed with reference to the FASB Accounting Standards Codification and applicable professional auditing standards.

Proof Summary

Metric	Value
Data Completeness	97%
Column Confidence	94%
Tests Executed	16
Tests Clear	2
Items for Review	86

II. Methodology

The following automated tests were applied to the revenue GL extract in accordance with professional auditing standards (ISA 240: Auditor's Responsibilities Relating to Fraud — presumed fraud risk in revenue recognition, ISA 500: Audit Evidence, PCAOB AS 2401: Consideration of Fraud). Where contract data columns were detected, additional contract-aware tests were applied per ASC 606 / IFRS 15 revenue recognition standards. Results represent revenue anomaly indicators, not fraud detection conclusions:

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Test	Tier	Description
Large Manual Entries	Structural	Flags manual revenue entries exceeding performance materiality threshold (ISA 240 fraud risk indicator).
Year-End Concentration	Structural	Flags revenue concentrated in the last days of the period, a common revenue recognition anomaly indicator.
Round Amounts	Structural	Flags revenue entries with round dollar amounts that may indicate estimated or manually entered values rather than actual contracted amounts.
Sign Anomalies	Structural	Flags debit balances in revenue accounts (normally credit), indicating potential mispostings or contra-revenue entries requiring investigation.
Unclassified Entries	Structural	Flags revenue entries missing account classification (unmapped to chart of accounts).
Z-Score Outliers	Statistical	Uses z-score analysis to identify revenue transaction amounts that are statistically unusual relative to the account's historical distribution.
Revenue Trend Variance	Statistical	Compares monthly revenue totals to the period's trend line and flags months where actual revenue deviates materially from the expected trend.
Concentration Risk	Statistical	Flags single accounts representing a disproportionate share of total revenue.
Cut-Off Risk	Statistical	Flags revenue entries recorded within a configurable window of the period-end date, where timing of recognition is most susceptible to error or manipulation (ISA 240 cut-off fraud risk indicator).
Benford's Law	Statistical	Applies Benford's Law first-digit analysis to revenue transaction amounts.
Duplicate Entries	Advanced	Flags revenue entries with identical amount, date, and account — potential duplicate postings.
Contra-Revenue Anomalies	Advanced	Flags elevated returns/allowances relative to gross revenue, a fraud risk indicator.
Recognition Timing	Contract	Flags entries where available contract data suggests a performance obligation under ASC 606 may not have been satisfied prior to the recognition date.
Contract Obligation Linkage	Contract	Flags revenue entries that cannot be linked to a corresponding contract or purchase order in the source data, indicating possible unsubstantiated revenue.
Modification Treatment	Contract	Flags revenue entries that appear to reflect contract modifications without evidence of updated transaction price allocation per ASC 606-10-25-10.
SSP Allocation	Contract	Tests whether revenue allocated across multiple performance obligations reflects standalone selling prices per ASC 606-10-32-28.

Interpretive Context: The results presented herein reflect automated data analytics and are intended to support, not replace, professional judgment. Identified anomalies may indicate areas requiring additional inquiry but do not, in themselves, constitute evidence of error, fraud, or material misstatement. The engagement team should evaluate each flagged item in the context of the overall engagement risk assessment and perform corroborating procedures as deemed necessary under applicable professional standards.

III. Results Summary

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Composite Diagnostic Score ................. 22.1 / 100
Diagnostic Tier ..................... MODERATE (22/100)
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Diagnostic Score Scale: 0–10 = Low | 11–25 = Moderate | 26–50 = Elevated | 51–100 = High
Basis: automated flag density — auditor judgment required per ISA 315. The diagnostic tier is an indicator, not a risk assessment or a conclusion on internal control.

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Total Revenue Entries Flagged ..... 86
Overall Flag Rate ................. 10.5%
High Severity Flags ............... 14
Medium Severity Flags ............. 44
Low Severity Flags ................ 28
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Test	Flagged	Rate	Severity
Round Amounts	28	3.4%	LOW
Year-End Concentration	18	2.2%	MEDIUM
Cut-Off Risk	7	0.9%	HIGH
Unclassified Entries	6	0.7%	MEDIUM
Z-Score Outliers	5	0.6%	MEDIUM
Large Manual Entries	4	0.5%	MEDIUM
Recognition Timing	4	0.5%	HIGH
Revenue Trend Variance	3	0.4%	MEDIUM
Duplicate Entries	3	0.4%	MEDIUM
Sign Anomalies	2	0.2%	HIGH
Contra-Revenue Anomalies	2	0.2%	MEDIUM
Contract Obligation Linkage	2	0.2%	MEDIUM
Concentration Risk	1	0.1%	HIGH
Modification Treatment	1	0.1%	MEDIUM
Benford's Law	0	0.0%	LOW
SSP Allocation	0	0.0%	LOW

Benford’s Law analysis of revenue transaction amounts shows close conformity (MAD = 0.0038), providing analytical support for the completeness and non-fabrication of revenue amounts in the population tested. No further procedures required for this test.

SSP Allocation testing identified no anomalies in transaction price allocation across performance obligations. No further procedures required for this test.

Contra-Revenue Ratio: $89,050.00 / $6,850,000.00 gross revenue = 1.3%. Within normal range — document as baseline for trend analysis.

IV. Key Findings

1. Cut-Off Risk: 7 entries flagged (0.9%) — revenue recorded within 3 days of period end (aggregate value: $647,500)

Suggested follow-up: Select entries within 5 business days of period end and trace to delivery/acceptance documentation. For service revenue, confirm that the service period falls within the reporting period. Quantify any entries where evidence of satisfaction is absent.

2. Recognition Before Satisfaction: 4 entries flagged (0.5%) — ASC 606 performance obligation not satisfied (aggregate value: $567,000)

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Suggested follow-up: Building on the initial assessment, obtain contract documentation for each flagged entry. Identify the specific performance obligation(s) associated with each entry and confirm the satisfaction date. Where the obligation was satisfied after the recognition date, assess whether a correcting entry or disclosure is required under ASC 606-10-25.

3. Year-End Concentration: 18 entries flagged (2.2%) — December revenue clustering (aggregate value: $2,192,000)

Suggested follow-up: Perform a period-over-period comparison of December revenue as a percentage of annual revenue. If the current-year percentage is significantly higher than the prior period, inquire of management and corroborate with shipping or delivery records.

4. Concentration Risk: 1 entry flagged (0.1%) — single customer represents 38% of total revenue (estimated revenue: $2,603,000 based on $6,850,000 total)

Suggested follow-up: Assess single-customer concentration for both revenue recognition and credit risk implications. Obtain the master contract with this customer. Evaluate whether concentration represents a going concern or business continuity risk requiring disclosure under ASC 275-10.

V. High Severity Entry Detail

Sign Anomalies — Entry Detail (2 items)

Entry Ref	Date	Account	Debit Amount	Expected Norma	Description
RV-2025-0392	2025-06-30	Product Revenue	$87,500.00	Credit	Revenue adjustment — recl
RV-2025-0594	2025-09-15	Service Revenue	$23,000.00	Credit	Reversal — client credit

Confirm whether each debit represents a legitimate contra-revenue entry (return, allowance) or a misposting requiring correction.

Concentration Risk — Customer Detail (1 items)

Customer / Account	Total Revenue	% of Total Revenue	Revenue Accounts
meridian enterprise	$2,603,000.00	38%	Product Revenue

Obtain the master contract with this customer. Assess whether concentration represents a going concern or business continuity risk requiring disclosure under ASC 275-10. Evaluate collectibility of related receivables.

Cut-Off Risk — Entry Detail (7 items)

Entry Ref	Date	Account	Amount	Customer	Days to Year-End
RV-2025-0812	2025-12-31	Product Revenue	$185,000.00	Meridian Enterprise	0
RV-2025-0808	2025-12-30	Product Revenue	$142,500.00	Apex Corp annual ren	1
RV-2025-0809	2025-12-30	Service Revenue	$98,000.00	Year-end consulting	1
RV-2025-0805	2025-12-29	Product Revenue	$76,500.00	Summit Industries im	2
RV-2025-0806	2025-12-29	Service Revenue	$62,000.00	Northwind Q4 support	2
RV-2025-0807	2025-12-29	Product Revenue	$45,000.00	BlueStar license upg	2
RV-2025-0804	2025-12-29	Product Revenue	$38,500.00	Cascade Partners onb	2

For each flagged entry, inspect the underlying contract or delivery documentation. Confirm that the performance obligation under ASC 606-10-25-23 was satisfied prior to the period end. Entries lacking supporting evidence of satisfaction before period end should be assessed for potential deferral to the subsequent period.

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Recognition Timing — Entry Detail (4 items)

Entry Ref	Date	Account	Amount	Obligation Concern
RV-2025-0714	2025-11-15	Product Revenue	-$225,000.00	Revenue recognized 45 days before obligation satisfaction da
RV-2025-0648	2025-10-01	Service Revenue	-$180,000.00	Revenue recognized 90 days before obligation satisfaction da
RV-2025-0589	2025-09-15	Product Revenue	-$95,000.00	Revenue recognized 107 days before obligation satisfaction d
RV-2025-0762	2025-12-01	Service Revenue	-$67,000.00	Revenue recognized 31 days before obligation satisfaction da

Obtain contract documentation for each entry. Identify the specific performance obligation and confirm its satisfaction date. Where satisfied after recognition date, assess whether a correcting entry is required under ASC 606-10-25.

34 of 34 flagged entries (100%) include preparer identification:

Preparer	Flagged Entries	% of Flagged
admin	28	82.4%
jsmith	6	17.6%

VI. Authoritative References

Body	Reference	Topic	Status
FASB	ASC 606-10-25	Revenue from Contracts with Customers — Recognition	Current
FASB	ASC 606-10-32	Revenue from Contracts with Customers — Contract Costs	Current

VII. Conclusion

Based on the automated revenue testing procedures applied, the revenue GL extract returned MODERATE flag density across the automated tests. Flagged entries warrant focused review as revenue recognition anomaly indicators, particularly year-end concentration and cut-off items.

Limitations

This report was prepared using Paciolus Diagnostic Intelligence and is intended to support the professional judgment of the engagement practitioner. The procedures reflected herein are analytical and diagnostic in nature and do not constitute an audit, review, compilation, or attestation engagement as defined under AICPA professional standards or PCAOB auditing standards. Findings and observations require independent corroboration before conclusions may be drawn.

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This memo documents automated revenue recognition testing procedures with reference to ISA 240 (presumed fraud risk in revenue recognition) and ISA 500. Results represent data anomalies identified through analytics and are not conclusions regarding internal control effectiveness, fraud, or material misstatement risk. The auditor must evaluate each flagged item in the context of the engagement and perform additional procedures as necessary per professional standards. This memo does not constitute audit evidence sufficient to support an opinion without corroborating procedures. Generated by Paciolus — Zero-Storage Audit Intelligence.

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